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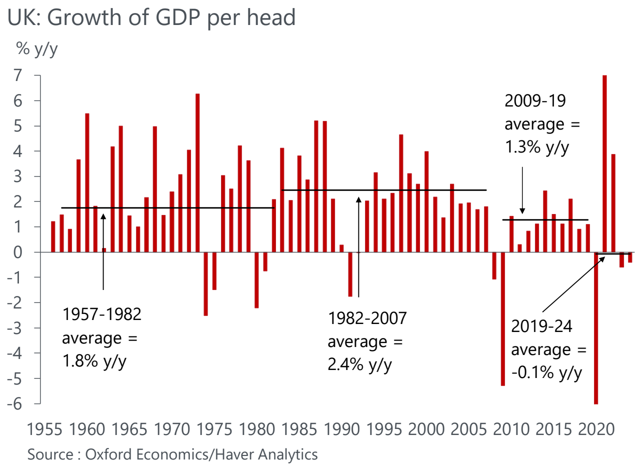
Research Briefing | UK

A plan for growth - next steps

- **The UK is in a low-growth rut, with real GDP per head last year little changed from five years ago. The government's policies to lift potential growth – mostly aimed at strengthening fixed investment – are a good start.**
- **But, even so, we doubt the government's approach is sufficient to significantly raise potential growth over the next five years. This is partly because a five-year horizon is too short to reap the full benefits of supply-side policies – a 10–20-year timeline is more realistic. But it's also because the government needs to go even further to make significant gains over that longer horizon.**
- **To raise potential UK growth, we propose a broad package of measures that include raising investment, expanding workforce participation, and boosting total factor productivity.**
- **Specific policies include easier visa rules for construction workers, higher allowances for intangibles investment, reforms to housing taxes, and closer trade links with the EU. We also advocate a broad package to raise workforce participation, including more support for childcare costs, reforms to incapacity benefits, and changes to tax and private pension enrolment for older people in work.**
- **At the same time, the Council of Economic Advisors should be expanded and given a more public-facing role. This would help highlight the longer-term gains from supply-side policies, as well as helping build a broader consensus within government and externally on measures to lift potential growth.**
- **Over time, higher potential growth would improve the UK's fiscal position. And reforms to incapacity benefits would probably save money while also lifting workforce participation. Some – but not all – of these supply-side measures have an initial cost. If extra savings are needed elsewhere, we propose replacing the state pension triple lock with a less generous approach and a gradual introduction of a road-usage charge, which will probably be needed eventually anyway as use of electric vehicles increases.**

The government has put faster economic growth at the centre of its policy aims and has announced a string of policies aimed at achieving is. But will existing measures succeed? If not, what else could they do?

Chart 1: The UK is in a low-growth rut



Sources: Oxford Economics/Haver Analytics

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Why is the government targeting higher economic growth?

Since the Global Financial Crisis (GFC) of 2007/09, the UK has been stuck in a low growth rut. Real GDP growth per head slowed from an average of 2.4% y/y during the 25 years ended 2007 to 1.3% y/y in the 10 years ended 2019, and - with declines in both 2023 and (probably) 2024 - has averaged around zero since 2019.

Low economic growth is reflected in meagre growth of living standards, and leaves the government with an unpalatable choice between higher taxes, little or no growth in public spending per head, or rising public debt (or, as recently, all three). Worse, the adverse fiscal effects of low growth may not yet be fully evident, because the OBR's potential growth forecasts are relatively high compared to most other estimates and may be vulnerable to further downgrades. All else equal, a lower OBR potential growth outlook would imply a higher outlook for the fiscal deficit and public debt.

The government has emphasised that higher economic growth is central to its ambitions. To be sure, it has slightly redefined its target, softening the pre-election aim of achieving the G7's highest growth before the next election (due no later than mid-2029). Its new aim is to achieve by the next election "higher living standards in every region of the country… As we target the fastest growth in the G7." But even with this slight modification, the focus on achieving higher growth remains.

The idea of the UK being the G7's fastest growing economy may seem far-fetched. However, not so long ago, this was a regular occurrence. The UK's per capita GDP growth exceeded the G7 average for 13 successive years from 1993 to 2005 and was comfortably the G7's highest over that period as a whole.

But at present, the UK is some way short. IMF figures suggest that over the last five years, the UK has been fifth in the G7 in terms of real GDP growth per head. The IMF's latest forecast projects the US will remain the G7's top performer in each of the next five years, with real GDP growth per head averaging 1.7% y/y (compared to 1.1% for the UK). The OE forecasts are similar and put the UK in sixth place among G7 countries for the average increase of real GDP growth per head over 2025-2029.

It's about lifting supply rather than simply demand

At first glance, it might seem that the easiest way to lift economic growth would simply be to boost demand, i.e. loosen fiscal policy. However, it is reasonable to assume that the MPC will set interest rates to keep GDP in line with potential output. With the output gap currently small, a major demand-side boost would simply prompt the MPC to hike rates or keep rates high to prevent the economy going into excess demand and creating inflation pressures.

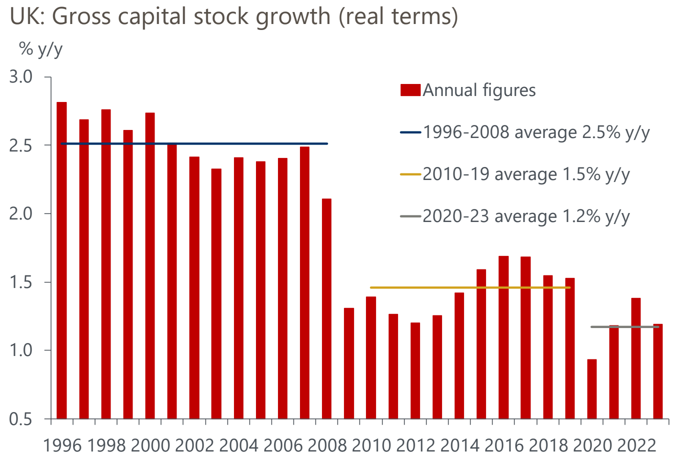
A successful and durable strategy for lifting growth therefore must focus on supply-side policies, i.e. those that lift potential growth. Faster potential growth would probably also lift demand because households and firms would become more optimistic about future income prospects. If necessary, the MPC could cut rates to ensure demand catches up with supply.

Potential growth can be split into changes in the stocks of labour supply and capital (including fixed investment and intangibles) and total factor productivity (TFP, a measure of the efficiency of labour and capital combined). In recent years, the UK has shown shortcomings in all these areas.

UK public and private investment have long been relatively low as a share of GDP by international standards, and slow capital stock growth has contributed to recent weakness in potential growth. For example, low business investment implies less capital stock per worker, with obvious adverse productivity effects. Low public sector R&D may reduce innovation across the economy. Low housing supply and large regional disparities in house prices hinder labour mobility, making it harder for people to move to higher paying (i.e. more productive) jobs, thereby damaging aggregate productivity (see here, here and here).

Moreover, unlike other G7 countries, the prior uptrend in workforce participation has stalled since 2019, although official UK figures may overstate the extent to which it has fallen since then. OECD data suggest the UK had by far the G7's highest TFP growth during 1993-2005 (averaging 1.7% y/y), but the fifth lowest during 2012-2017 (averaging 0.5% y/y), and the sixth lowest in the latest five years, for 2017-2022 (0.2% y/y).

Chart 2: Low investment has caused a sharp slowdown in capital stock growth since 2008



Sources: Oxford Economics/Haver Analytics

What is the government currently doing to lift growth?

A strategy for lifting potential growth could address any or all of these channels; investment, labour supply, and TFP. In practice, as the Chancellor said in last year's Budget, the government's growth strategy is "invest, invest, invest", focussed on lifting fixed investment in the public and private sectors. Announced measures include:

- Large increase to the public investment plans for coming years in the autumn 2024 Budget and new fiscal rules to remove prior incentives to cut investment to meet fiscal targets.
- Planning reform, aiming to lift housebuilding but also to facilitate infrastructure projects, eg Heathrow's third runway.
- Consolidation of local government pension schemes to create 'megafunds', with the aim of raising inflows to venture capital and infrastructure projects.
- Proposals to allow firms with defined benefit schemes that are in surplus (i.e. assets exceeding the present value of their liabilities) to withdraw part of that surplus to finance investment.
- New industrial strategy, which aims to support the growth of a range of priority sectors.
- National Wealth Fund (an expanded version of the prior UK Infrastructure Bank) with scope to provide loans, guarantees, and equity finance to underpin investment in line with the industrial strategy.
- Continue the previous government's decision to introduce 100% capital allowances for plant and machinery investment. Initially this was only until 2026, but was made permanent in the late 2023 Autumn Budget. These allowances are more generous than in most OECD countries.

In addition, the government has adopted a package of measures to expand use of Artificial Intelligence in public and private sectors. However, while the long-run gains to growth from AI could be big, their speed and scale are highly uncertain at present. The government has also published a white paper outlining measures to lift the employment rate, but the proposals are rather vague and modest in scale.

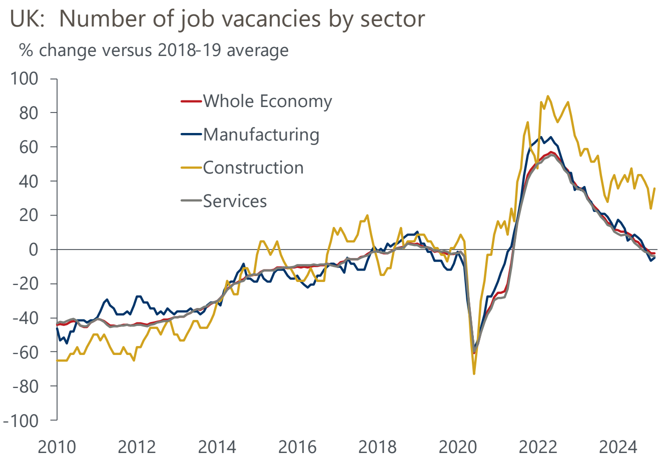
Will these measures succeed?

The emphasis on higher investment is a positive development, and in line with our previous proposals. Nevertheless, the measures announced so far are unlikely to significantly lift potential growth over the next 5-10 years. It's highly unlikely that they will lift the UK anywhere close to the top of the G7 growth league over that timeframe unless other countries' performance worsens markedly.

First, most supply-side measures take time to achieve their full effects. It takes a lot to significantly affect potential growth over 5-10 years. A 10-20-year horizon is a more realistic timeframe.

Second, these reforms do not address all the constraints on private investment. In particular, even if other constraints ease, construction activity probably will be restrained by labour shortages. Despite zero growth in construction output over the last year, the number of vacancies in construction is 35% above the 2018-2019 average, in contrast to the normalisation seen in other sectors. Hence, if the reforms discussed above prompted significantly stronger demand for infrastructure, public facilities and housebuilding, worsening labour shortages probably would still prevent investment in these sectors rising much.

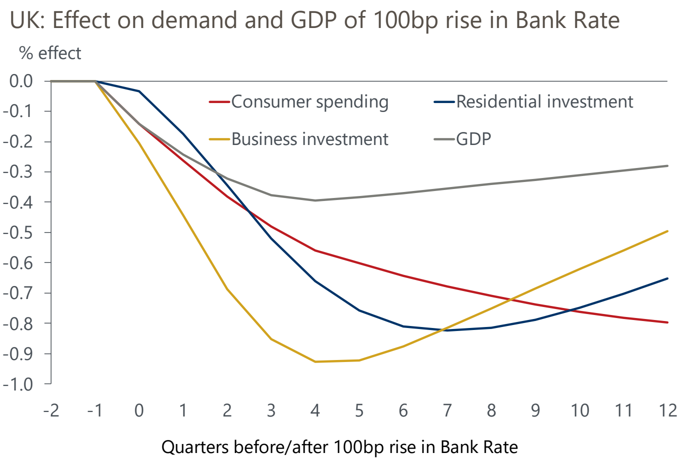
Chart 3: The construction sector already faces relatively severe labour shortages



Sources: Oxford Economics/Haver Analytics

Third, if these policy changes do create strong momentum in investment, it would be short-circuited by upward pressure on interest rates. Higher investment adds to demand more than supply over the first few years. Moreover, it's reasonable to assume the MPC will aim to keep the output gap around zero, which would offset the excess demand effects of higher investment with higher interest rates (or less easing). Business investment and housebuilding are quite rate-sensitive, and simulations on the OE model suggest that higher interest rates cause business investment to fall more than GDP. So the resulting rise in investment and capital stock would probably be less than that generated by the policy changes alone.

Chart 4: Higher interest rates would reduce investment more than GDP



Sources: Oxford Economics/Haver Analytics

Fourth, annual investment flows are so small relative to the capital stock that even a large jump wouldn't have much effect on the capital stock's level and growth within 5-10 years. For example, in 2023, the UK's gross capital stock was £10,751bn, roughly 400% of annual GDP, while annual gross investment was £478bn, 18% of GDP and just 4.4% of the capital stock. The OBR recently estimated that a sustained rise of public investment equal to 1% of annual GDP – a big rise – would lift the potential output level by just 0.2% after three years, 0.4% after five years, and 0.9% after 10 years. The eventual effect would be 2.4% over 50 years. The effect on potential output growth after 5-10 years would be even less, around 0.1ppts per year, which is barely noticeable.

In short, it would take a colossal rise in fixed investment to have a big effect on potential growth over 5-10 years. And in that case, the ensuing labour shortages and excess demand would probably prompt significantly higher interest rates, thereby eroding investment and weakening the fiscal position.

Meanwhile, some of the government's other decisions are harming potential output, in particular the rise in employers' national insurance and the cut in the NIC's threshold, which sharply raised the cost to firms of low-paid jobs. The OBR expects this will reduce workforce participation, partly offsetting the lift to potential output from higher public investment.

To be clear, we don’t disagree with the emphasis on higher investment – it is a major step in the right direction. The problem is that as a strategy for lifting potential output over a relatively short timeframe, the current approach is too narrow to succeed. And over a longer timeframe, a broader approach could yield greater gains.

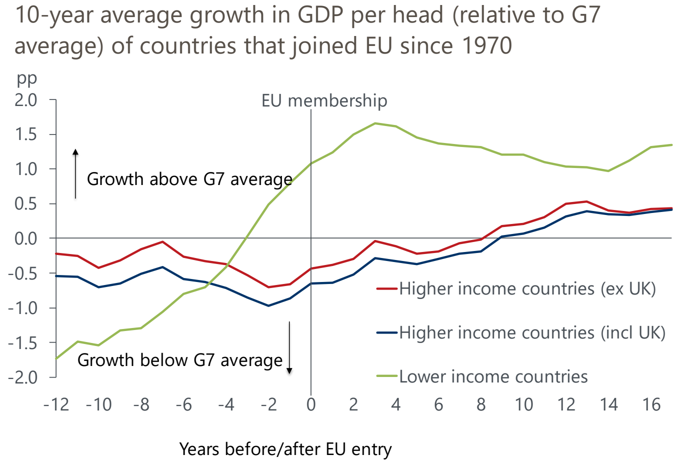
What lessons can we learn from other countries?

Before outlining specific proposals for the UK, we highlight several lessons from episodes in which countries significantly improved per capita growth (relative to the G7) for a sustained period in recent decades.

Some examples are unlikely to be replicable by the UK. For example, rising commodity prices generated terms of trade gains that helped Australia and Canada (both big commodity producers) outperform for 10-15 years from the late 1990s. Spain, Iceland and Ireland outperformed through major credit booms before the GFC. Recent improvements in the US and Italy's growth partly reflects sizeable fiscal support. These routes are unlikely to be available – or sustainable – for the UK at present. the UK is no longer a major commodity producer, public and private debt are already relatively high, while the GFC and Truss crisis are reminders of the costs of either fiscal-driven or credit-driven stimulus.

Various other countries also benefited from higher growth because joining the EU increased their openness to trade and investment, and served as a catalyst for domestic reforms. Apart from the UK, 21 countries have joined the EU since 1970 (the other six EU countries were founder members in 1957). Most (17) of these 21 joined the EU with GDP per head below 80% of the average of the six founder members (indeed, on average they were around 50%) and benefited from rapid convergence of income levels.

Chart 5: On average, countries that joined the EU saw a marked pickup in relative growth



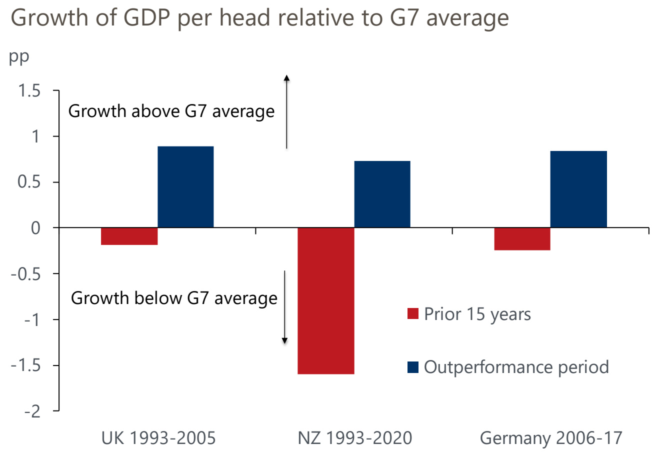
Sources: Oxford Economics/Haver Analytics

The other four countries (Denmark, Sweden, Finland, Austria) joined the EU with GDP per head already at least 80% of the EU founders, and hence with less scope for catchup growth. But these countries also saw a significant pickup in relative growth rates: on average, their per capita growth rates were 0.7ppts below the G7 average in the 10 years before EU entry, but 0.2ppts above the G7 average in the first 10 years after EU entry, with greater outperformance 5-15 years after EU entry. The UK also joined with a relatively high GDP level in 1973 and enjoyed a marked improvement in its relative growth rate in the 10-20 years after EU entry.

Three other cases are especially relevant:

- The UK from 1993-2005, with per capita GDP growth above the G7 average for 13 consecutive years;
- New Zealand from 1993-2020, with per capita growth above the G7 average for 21 out of 28 years; and
- Germany 2006-2017, with per capita growth above the G7 average in 9 out of 12 years.

Chart 6: The UK, New Zealand and Germany all had periods of relatively strong growth



Source: Oxford Economics / Haver Analytics

Of course there are differences across these three countries. But there are also some common themes:

- Higher growth did not happen by accident but followed major supply-side reforms. In Germany, the Hartz reforms (2003-2005) aimed to raise labour market flexibility, with lower benefits and tighter job acceptance obligations for the long-term unemployed, tax breaks for lower paid jobs ('mini jobs' and 'midi jobs'), and deregulation for temporary and fixed term contracts. New Zealand's reform program (1984-1996) was wider, including deregulation of labour markets and financial system, end of exchange controls, cuts in tariffs and subsidies, and increased trade openness through a series of bilateral and multi-lateral trade agreements. In the UK, the 1980s saw major deregulation of the labour market and financial system, plus increased product market competition, followed by a big expansion of university education in the 1990s, and (in the late 1990s) tax credits for low-paid workers to encourage workforce participation.
- The effect of domestic reforms was magnified by trade openness. The UK in the 1990s and 2000s benefited from the agglomeration of business and financial services within the EU following the 1993 creation of the Single Market. New Zealand's reform program was partly domestic but also emphasised trade liberalisation. The boost to Germany's competitiveness from the Hartz reforms was expanded by its EU membership, which facilitated outsourcing to lower-cost EU accession countries, while China's WTO entry and rapid growth lifted demand for capital goods and high-quality consumer goods. Trade liberalisation also played a big role in the outperformance of EU joiners.
- In all three countries, the reforms were often unpopular at first and remained contentious for some time. It took years for the improvement in growth to shine through.
- Supply-side reform must be a continuous process. After reforms helped trigger prolonged economic outperformance, per capita GDP growth in all three countries has recently fallen back below the G7 average.

In a UK plan for growth, what should the next steps be?

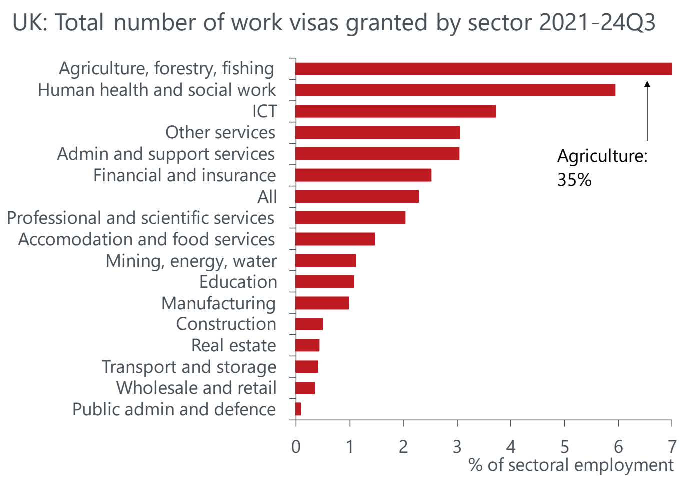
The UK needs to go further and faster, supplementing existing measures to lift fixed investment with other supply-side measures to support investment, increase productivity, expand labour supply, and to ensure that a longer-term approach to economic growth is prioritised in policymaking. Here are some examples:

1. Further relax visa rules for construction workers

The government's hope seems to be that the supply of construction workers will expand through more training and apprenticeships by UK firms. However, the number of construction apprentices remains some way short of the levels required to meet the industry's needs, and the drop-out rate for construction apprentices is nearly 50%. The risk from the current strategy is that the UK's much-needed increase in investment will be derailed by persistent shortages of construction workers. It's important to note that for a strategy of lifting potential growth, a larger pool of construction workers is a means to an end (higher capital stock growth) rather than an important aim itself. Construction is not one of the high-growth sectors identified in the government's Industrial Strategy, but it is a facilitator of the growth agenda.

In theory, firms can hire foreign construction workers on skilled worker visas to work in the UK. However, in practice, this doesn't work. Since the start of 2021, only 10,600 visas have been granted for construction workers, equal to just 0.5% of the average level of construction employment – among the lowest for any sector. By contrast, across all other sectors combined, 740,000 work visas have been granted, equal to 2.3% of the average level of employment, with especially high levels in agriculture, health services, and ICT.

Chart 7: The number of work visas granted for construction workers has been relatively low



Source: Oxford Economics / Haver Analytics

The failure rate of visa applications for construction workers is not high – from Q1 2021 to Q3 2024, visas granted equalled 87% of the number of applications. The government added some construction occupations to the shortage occupation list in the 2023 Budget, which should make it easier to get visas for these workers. However, the numbers of construction worker visas granted has remained low since then.

The problem appears to be the admin burden (see also here and here), which discourages construction firms from applying for visas. It takes time and expense for a firm to hire staff on a visa, and small firms that account for a lot of construction activity report the admin is cumbersome. In 2023, only 7% of construction firms had signed up as sponsors for work visas; among firms with less than five employees, only 2% had signed up. This is a chicken and egg problem: visas can typically only be obtained by someone who already has a firm job offer in the UK, but many construction firms appear unwilling to make job offers to people who don't already have a visa. Moreover, a lot of construction work consists of a series of temporary contracts, and so would require a series of visas, adding to costs. And construction has a high share of self-employed workers, who generally would not qualify for a work visa.

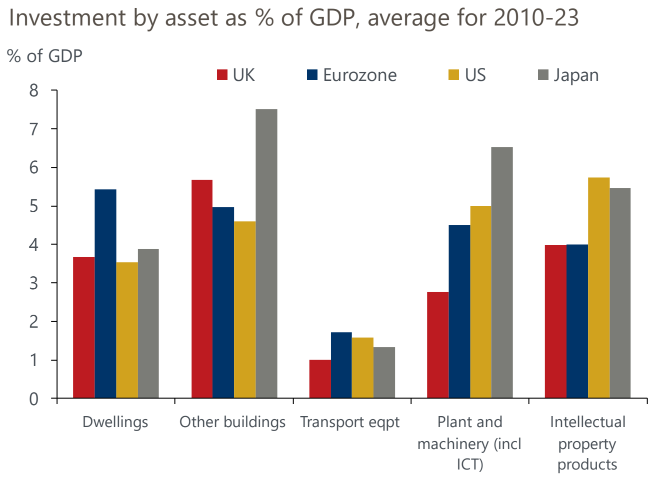
These problems with the visa system didn't matter much before Brexit. Back then, foreign workers in construction were mostly self-employed but overwhelmingly from the EU, and so did not need a visa.

One way to tackle this would be to design a special visa scheme for construction workers. The UK already has special visa schemes to address specific labour shortages. There is one for health and care workers with a lower pay threshold. The seasonal work scheme is important for agriculture, as well as the arts and entertainment (in "other services" in **Chart 7**). A similarly tailored scheme is needed for construction. For example, foreign construction workers could get a general construction sector visa to work for a wide range of registered construction firms, rather than being tied simply to one employer. Moreover, construction firms could get pre-approval for a given number of work visas, without having to specify in advance exactly who will get them, and then register staff once they are hired, making the process easier. Unlike a normal work visa, any such special scheme would not necessarily include the scope to apply for indefinite leave to remain after five years. Other possible schemes could be considered.

2. More support for investment in intangibles

Various studies have shown that intangible assets (e.g. investment in software, databases, research) are an important driver of productivity growth (see here and here). Indeed, investment in intangibles may be more effective than investment in tangibles in lifting TFP (see here). Moreover, shortages of construction workers would not matter for investment in intangibles. However, financing issues inhibit intangibles investment, because in general it is harder to use intangibles rather than other types of investment as loan collateral. Investment in intangibles (on the GDP definition) in the UK is similar to the eurozone average as a share of GDP, but well below the global leaders US and Japan.

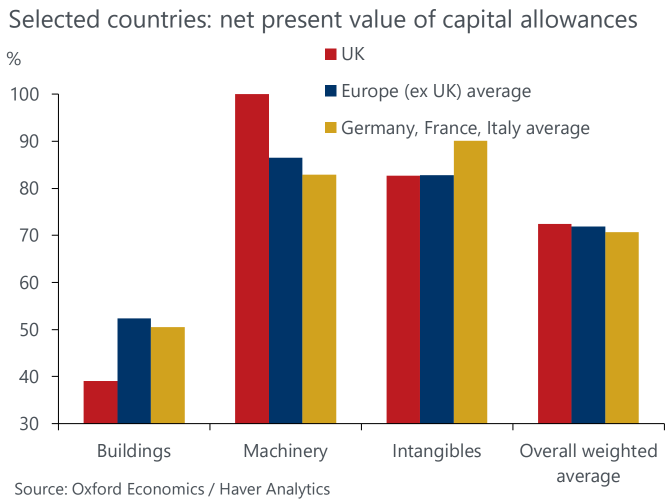
Chart 8: UK investment in intangibles is well below global leaders



Source: Oxford Economics / Haver Analytics

One way to tackle this would be to extend the UK's generous capital allowances for plant and machinery to some or all investment in intangibles, thereby reducing the upfront cost of intangible investment. At present, the overall average level of capital allowances (weighted across different assets) is close to the European average. Within that, capital allowances are above the European average for plant and machinery (100%), around the European average for intangibles, and below average for buildings (see here and here).

Chart 9: UK capital allowances are relatively generous for machinery, less so for intangibles



Sources: Oxford Economics

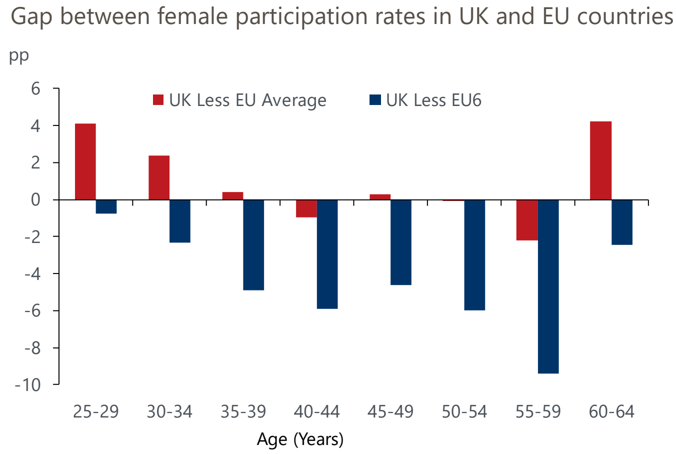
Higher allowances for intangibles could help broaden the appeal of the UK as a destination for investment. Conversely, it's harder to justify higher capital allowances for buildings, given that UK firms' investment in buildings is already relatively high as a share of GDP, even while investment in plant and machinery and intangibles is relatively low.

3. A Hartz reform package for participation

The current government has set an aim of getting 80% of the adult (16-64) population in work. Currently, the UK is well short of that, with the employment rate at 75% and workforce participation at 78%. On a common basis (for the 25-64 population), the UK participation rate is around the average of OECD countries. We propose a multi-faceted "Hartz-type" program to tackle this, focussing on more support for childcare costs, reforms to disability benefits, and measures to lift workforce participation among older people.

More support for childcare costs. Female participation rates are relatively high compared to the EU average for the 20-24 and 25-29 year age groups, but close to the EU average - and well below the highest levels among EU countries - at age groups above that. The UK's relatively high child-care costs probably are a factor in this, with the need to look after their children limiting the extent to which women do paid work. By contrast, several EU countries (e.g. Austria, Denmark, Finland, France, Portugal, Sweden – shown as the EU6 in chart 10) have relatively low childcare costs, reflecting state provision, subsidies, and benefits. This contributes to these countries' relatively high female participation rates in the 25-59 age groups (the UK's relatively high female retirement age lifts participation in the 60-64 age group).

Chart 10: High childcare costs probably depresses female participation in the 30-59 age groups



Source: Oxford Economics / Haver Analytics

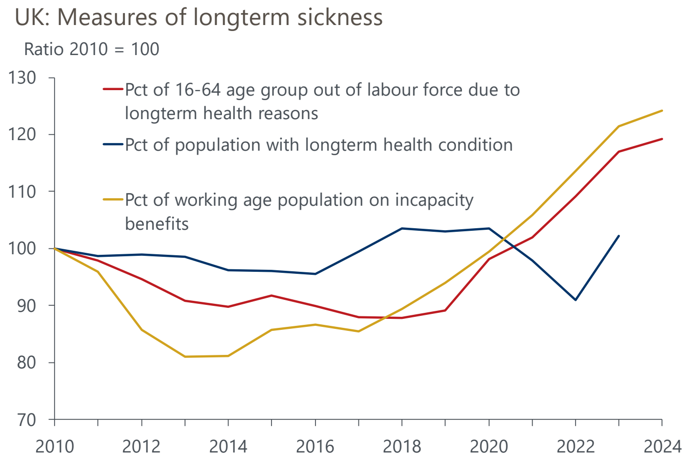
The UK government announced a major expansion of subsidised childcare in the 2023 Budget that will become fully operational later this year. This covers up to 30 funded hours of childcare per week over 38 weeks of the year for children aged nine months, subject to parents meeting income criteria.

However, there's already a widespread shortage of childcare staff, even before the scheme is fully rolled out. More could be done on the parameters of the scheme: raising the funding amount per child to fully cover costs in all regions and relax the staff-to-child ratios, which would expand capacity; increasing the number of eligible hours of free childcare and extending it to the whole year, which would increase the boost to participation; and lifting the qualifying income threshold to reduce disincentives to earn above that limit.

More emphasis on getting people off incapacity benefits. The share of the 16-64 population who say they are out of the workforce due to long-term illness or incapacity has risen to 6.5% from 5.0% in Q4 2019 (to 2.8 million from 2.1 million), far above major EU countries. It's unlikely this rise is all just due to measurement errors. The rise has been widespread across age groups and hence does not seem to be just a side-effect of population ageing. There has been little change over the last 10 years in the numbers out of the workforce because of muscular-skeletal problems, problems with hearing, speech, or sight, or internal organ problems, but a sharp rise in the numbers with depression, phobias, and panic attacks, as well as miscellaneous other problems. At the same time, there has been a surge in the numbers on incapacity benefits, available for people officially classified as unable to work due to illness or incapacity. Again, this is much greater than in other countries.

The underlying causes are unclear. The rise in NHS waiting lists and worsening health conditions may have played a role. However, separate data suggest that the share of people reporting they have a major long-term health condition has not changed much over the last 15 years. Moreover, the rising inflows to incapacity benefits largely reflects a higher approval rate (and also a lower dropout rate) for benefit applicants, rather than a rise in the numbers of people applying for these benefits.

Chart 11: More people on long-term sickness benefits but little change in those with health conditions



Sources: Oxford Economics/Haver Analytics

At least part of the rise in the numbers out of the workforce appears to stem from the structure of incapacity benefits following the rollout of universal credit in 2016-2018.

Incapacity benefits are typically higher than out of work benefits, and it's possible that this disparity has led some people to shift to incapacity benefits (see here and here). In particular, the highest level of incapacity benefits is for people in the limited capability for work-related activity (LCWRA) category, and this group is not required to look for work or engage in work-related activities. Most of the rise in inflows to incapacity benefits are to this category.

Moreover, the inflow to incapacity benefits tends to be a one-way street. Roughly a quarter (24%) of those out of the workforce due to long-term illness or incapacity say they would like to work. But official job search requirements and return to work programs focus on the unemployed rather than those on incapacity benefits. Indeed, official research (see also this report) suggests that some people on incapacity benefits fear that looking for work could trigger a work capability assessment (WCA) review that puts their benefits at risk. Hence, the share that return to work is much lower among people on incapacity benefits than those unemployed, and people on these benefits become increasingly detached from the workforce.

Possible solutions are therefore likely to focus on trying to ensure that people with long-term health conditions can remain in work, or if on incapacity benefits have more pathways to move into work. In other words, reducing inflows (from work) to incapacity benefits and raising outflows (to work).

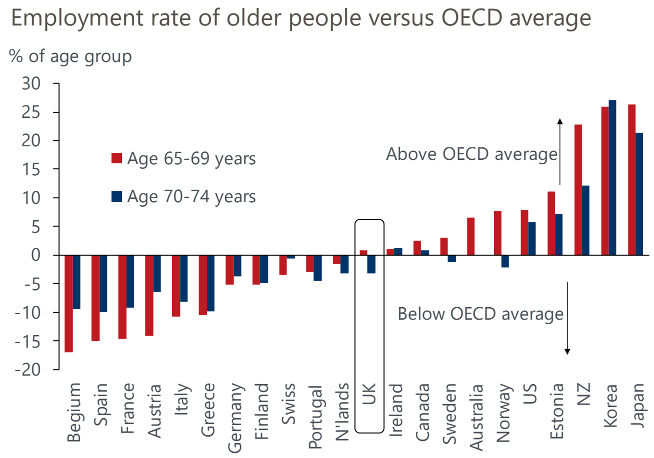
- One approach is to cut inflows by tightening the process for people to move into incapacity benefits, which currently consists of a "fit note" assessment, typically by a GP, followed by a WCA, which is typically online. Possible options would be to move from the current largely binary verdict of either capable or incapable of work to a more rounded assessment of what the person would need to be able to work to an extent. An example is the early 2000s reforms in the Netherlands, which markedly cut the numbers of long-term sick. In the Dutch system, long-term sickness benefits are paid by firms rather than, as in the UK, the state. But the key features are that the health reviews are mainly done by occupational health professionals rather than a GP, employers must provide any rehabilitation needed for a quick return to work, and employees must take part in reintegration offers from the employer, with sanctions on either employer or employee if they do not participate.

- To raise outflows, one approach (advocated by the Social Security Advisory Committee in 2022 and similar to the scheme in Finland) is to de-risk a return to work by ensuring that people on incapacity benefits can resume their prior job, engage with other potential jobs, and even start a new job without automatically losing their benefits. They would still be able to resume their existing benefits without penalty if the job doesn't work out.
- Another is to restart the regular reassessments of those in the LCRWA category, which were stopped during the Covid pandemic and have not been revived. Before Covid, these reassessments typically saw 50,000-100,000 people per year move off incapacity benefits, but this has largely ceased.

The previous government had plans to restrict incapacity benefits by tightening the WCA tests, and launched a consultation on broader reform of incapacity benefits, but did not implement them. The current government also seems to recognise the need to do more about the find ways to help those on incapacity benefits to engage with work, but has not yet produced solid plans to tackle it.

More support for older workers. With population ageing, the extent to which older people stay in the workforce is an increasingly important aspect of labour supply. The employment rate among people aged 65-74 years has risen in the UK and other countries over the last 10-15 years, reflecting factors including increases in state pension ages, rising life expectancy, higher education attainment, and better average health outcomes. The UK employment rate for the 65-69 age group (25.3%) is similar to the OECD average, while the 70-74-year employment rate (8.9%) is well below it (12.1%). The UK's over 65s employment rates are well behind the US, South Korea, Japan, and New Zealand. Adjusted for changes in education attainment, the rise in employment rates for older people in the UK over the last 20 years has been much smaller than most other advanced economies.

Chart 12: Employment rates among older people are well below global leaders



Source: Oxford Economics / Haver Analytics

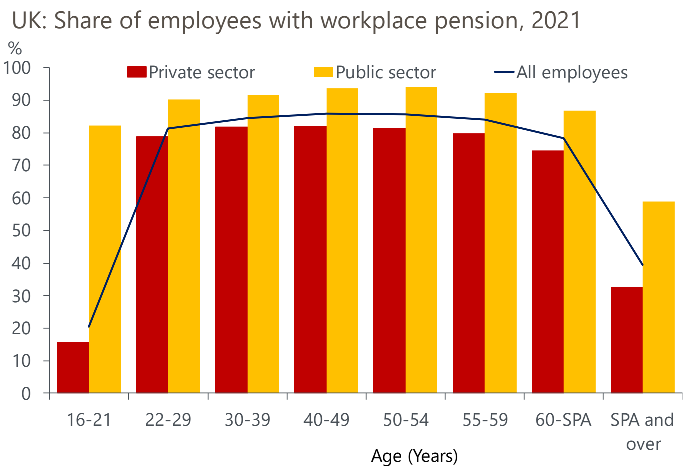
The UK already gives older people incentives to remain engaged with work. For example, people can defer receipt of the state pension past the state pension age (SPA) in exchange for a higher payment. The SPA, currently 66 years, is set to rise to 67 years during 2026-28, with a further rise to 68 years during 2044-2046. That latter rise could be brought forward but, given the need to provide adequate notice, couldn't occur before the mid-2030s, which wouldn't significantly alter labour supply in the next 10 years.

In any case, changing the SPA is not the only option available. For example, of the 10 countries with the highest 65-69 employment rates in chart 12, six have a lower state pension age than the UK, two are the same, and only two have a higher one. For most of those countries, high employment rates among older people are because more people work beyond the state pension age, rather than because of a higher state pension age.

South Korea's relatively high participation rate of older workers may not be an appealing model, because it partly reflects the limited social safety net that forces older workers to work in relatively low-paid jobs. But we can learn from other countries' experiences:

- Among countries with relatively high employer social security taxes, like the UK, many have exemptions, lower rates, or higher thresholds for older workers. For example, in Sweden most of the employers' social security payments are waived for employees above the state pension age. The UK exempts people working above the SPA from employee's national insurance, but the value of this concession has fallen as the employees' NI tax rate has been cut. Older workers are subject to employers' NI, for which the rate has gone up. Moreover, the employers' NI threshold has been cut, making it more likely to include older workers, a relatively high share of whom work part-time and hence have quite low pay levels.
- In New Zealand, the Office for Seniors (headed by a government minister) was established in 1990 with a remit to advocate across government on issues that impact older people. It publishes a regular Older Workers Employment Action Plan that helps ensure a strong policy focus on this area. The UK has no such equivalent.
- Moreover, since 2019, over 65s in New Zealand have been able to maintain contributions to the widespread "Kiwisaver" pension accounts, which include contributions from both employers and employees, raising incentives to stay in work. Among those in work in NZ aged 65-74 years (i.e. above the state pension age of 65 years), 47% are members of a private pension scheme, not far short of the share among all employed people (65%). In the UK, auto enrolment to workplace pension schemes only applies to people aged from 22 years to state pension age who earn at least £10,000 per year. Employees above the SPA can ask to join, but the company does not have to agree. As a result, participation in workplace pension schemes is relatively low among employees above the SPA, especially in the private sector.

Chart 13: Relatively few UK private sector employees over 65 years are in company pension schemes



Source: Oxford Economics/Haver Analytics

So a package to encourage older workers in the UK could consist of the following: an Office for Seniors modelled on the New Zealand setup; extending auto-enrolment for company pension schemes to people above the SPA, including those earning less than £10,000 per year, or allowing people to combine income from multiple part-time jobs to reach the £10,000 threshold; a much higher threshold or lower rate for employers' NI for workers over the SPA (i.e. class C), to largely or fully exempt them. The overall effect would be to cut costs of employing people over the SPA because of lower NI payments, to raise the rewards for working past the SPA because of higher membership of workplace pensions, and through an Office for Seniors to ensure a constant policy focus.

Possible effects. The potential combined gains from changes in participation in these areas could be large:

- If participation rates among women aged 25-59 years rises to match the EU6 average, this would expand the workforce by 2.1% (750,000 people).
- If the share of the 16-64 age population out of the workforce due to long-term sickness returns to its 2019 level, and these people move into the workforce, this would add 1.9% to the workforce (660,000 people) and save about £15bn in benefit spending.

- If the UK employment rate among the 65-69 age group rises to match the average of Sweden and New Zealand, and that of the 70-74 age group rises to the OECD average, this would add 1.7% (600,000 people) to the workforce.

These are quite big "ifs". Moreover, for all these changes, the rise on potential hours worked would probably be less than the rise in the workforce, because many of those involved might work part-time. Still, with appropriate policies, an 80% employment rate is perhaps not as far-fetched as it might first appear.

4. Reform property taxes to increase housing mobility

As discussed, a key route by which higher housebuilding lifts potential growth is by reducing regional house price differentials, hence making it easier for homeowners to move to more productive jobs, leading to higher aggregate productivity. As well as building more houses, it may also be possible to raise labour mobility by reforming property taxes.

The combination of strong house price gains and new higher stamp duty rates for higher priced homes since the late 1990s means that the UK now has relatively high tax rates on moving house, especially for more expensive properties.

The result is that many homeowners now face a large tax payment if they move home, which can be avoided simply by staying put. There is plenty of evidence (here and here) that such high transaction taxes reduce people's willingness to move house. This effect is likely to be especially important for people looking to move to London and the South-East, which have relatively high property values and productivity levels, or considering moving away from those regions for a few years to other parts of the UK for work and expecting to return subsequently.

For example, the stamp duty payable on an average-price dwelling in London has risen from £900 in 1997 (4% of average pre-tax annual earnings in London) to £14,000 now (31% of average London earnings). The impact is even larger for people looking to buy a relatively high-price dwelling, because of the greater tiering of stamp duty rates. For someone buying a dwelling priced 50% above the London average, stamp duty would be £27,000 now compared to £1,400 in 1997, a rise of 1800%. For comparison, average pay in London has risen by 110% over that period.

If the aim is to tax property wealth then, rather than tax house movers, a better system would be to raise an equivalent amount through a property tax that is payable whether people move house or not, as proposed by both the OECD and IMF. This could be done by reforming the existing council tax (which funds local government) to make it less regressive, or through introducing a new tax on property values.

Stamp duty receipts on residential housing totalled £8.6bn in 2023/24, and OBR projections suggest they will be about £10bn in 2024/25. Official figures show that the value of dwellings owned by households (net of depreciation and excluding land) in 2023 was £1.8bn, while unofficial estimates suggest the value of the housing stock (including land) is £8tn-£9tn. As a rough guide, a tax of 0.25% of property values excluding land (or, more realistically, a lower percentage of property values including land) could allow stamp duty to be halved. Such a system would greatly cut costs of moving house, thereby increasing labour mobility.

5. Closer trade links with Europe

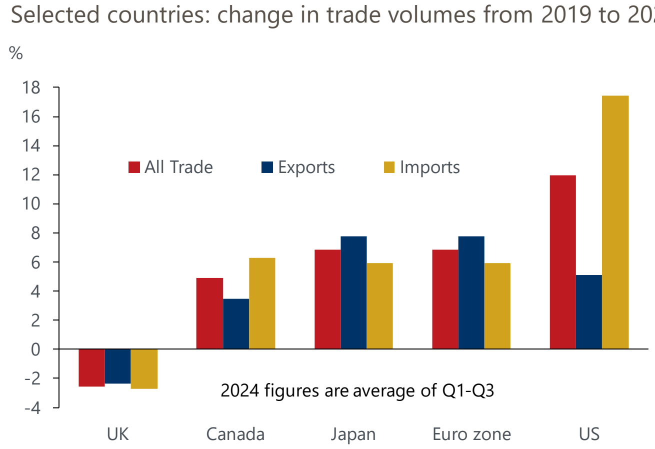
Eight years after the referendum, any hopes that Brexit would somehow liberate the UK economy and increase the economy's trade openness to create a "Singapore on the Thames" model of high potential growth have evaporated. In line with most expectations, the UK's trade intensity has fallen significantly. Among the 37 advanced economies covered by the OECD, the UK is the only one for which the average levels of both exports and imports in Q1-Q3 last year were still below 2019 levels.

Given the link from trade openness to productivity, reflecting a more efficient allocation of resources, this drop in trade openness has probably further weighed on potential output, as recently acknowledged by the Bank of England Governor. Increased obstacles to exports have made it harder for successful firms to expand, while reduced import penetration has shielded less competitive domestic firms from competition.

There's little prospect that frictions on EU trade will be offset by greater openness versus non-EU countries, especially given the global drift away from trade liberalisation. Indeed, in our view, the UK would probably be better placed to lower trade barriers with non-EU countries if it was an EU member, given the EU's greater negotiating heft and experience in trade deals.

The government has said it will seek closer trade links with the EU. However, while it may be possible to reduce some trade frictions (e.g. on food standards), scope will probably be limited given the UK government's 'red lines' of no single market, no customs union, and no freedom of movement. These red lines severely limit scope for trade liberalisation and hence for trade-driven gains in potential output.

Chart 14: Unlike other advanced economies, UK trade volumes in 2024 remained below 2019 levels



Source: Oxford Economics / Haver Analytics

A powerful way to lift UK potential output therefore would be for the UK government to aim for a more ambitious reset with the EU, with a clear intention to eventually join either a customs union or the single market, or to rejoin the EU over time. The experience of other countries suggests that EU membership is a relatively rapid, impactful, and cost-effective way of lifting potential output. Moreover, it would complement the government's existing growth plan. The industrial strategy would be reinforced if successful firms have more scope to expand through exports. Freer movement of workers would ease sectoral labour shortages, thereby making a sustained rise in UK construction more feasible.

In practice, however, it is very unlikely that the UK government will abandon its red lines before the next election (set for no later than mid-2029). As a result, only very modest trade liberalisation with the EU – and hence little effect on potential output – is likely over that period.

Things could change further ahead. It's conceivable that the Labour leadership will then take a more pro-EU stance after the next election, if (1) the next few years establish better UK-EU relations; (2) Labour win that election with another large majority (or are in coalition with the pro-EU Lib Dems); and (3) public opinion favours EU membership.

But this is far from certain. It's also possible that continued sluggish growth in the next few years will erode Labour's popularity, while Reform or the Conservatives could make sizeable gains at the next election, such that the government will remain reluctant to adopt a pro-EU strategy. In this case, prospects of a serious shift to closer trade links with the EU would remain distant.

6. A clearer strategy and prioritisation on potential growth

As well as individual policies, the government also needs a clearer strategy of what it is trying to achieve, and a narrative to ensure businesses and households understand the strategy. At present, the government's plan for growth, such as it is, appears piecemeal. There's little sense of why the government has prioritised particular policies, how they fit together, and what the expected results in terms of lifting potential growth are likely to be over the next five, 10, or 20 years.

One way to achieve a clearer strategy would be to establish a public-facing expert body (an independent "Growth Commission", as the IMF advocates) that provides a regular analysis of factors affecting potential output, how the government's policy measures seek to improve this, the timeframe over which they will have effects, and what further options are available. Such a body could take a longer view than a parliamentary term, and emphasise the high long-term returns from supply-side policies in terms of improved living standards and a more sustainable fiscal position. It could help institutionalise a longer-term approach to economic policymaking.

This could be achieved by strengthening the government's existing Economic Advisory Council (EAC) to be more like the US Council of Economic Advisors (CEA). This would require a larger expert staff. Moreover, unlike the UK EAC, the US CEA has a public role, notably through producing the annual Economic Report of the President. This usually integrates a thorough discussion of economic trends and challenges, with analysis of the government's existing policies and proposals for what is needed.

At present the UK has no equivalent. The OBR provides medium-term forecasts of the fiscal outlook and potential growth, but has no role in analysing which policies would best address them. The annual Budget publication mainly focusses on fiscal policy rather than broader analyses of measures to lift potential growth. An expanded and beefed-up EAC could fill the gap. To reinforce the need to consider the long-term effects of policies, it would be useful also to extend the OBR's horizon forecasting horizon to ten years (like the US CBO) from five currently.

As well as having a strategy, the government needs to have a narrative – and repeat it ceaselessly – of how its various policy measures form a coherent and plausible program for higher growth. It's not possible for 'boosterism' alone to substitute for policy. But the effect of supply-side measures on potential output will be magnified if businesses believe there will be a sustained pickup in demand, and accordingly increase investment and training. If the policies are in place, a narrative can help bring it all together and create positive spillovers across the economy.

Sequencing and financing

The measures that could generate the earliest increase in potential output are probably those that lift workforce participation, because they allow greater use of existing human capital, whereas an investment-based strategy relies on a more gradual rise in the capital stock.

Some of these measures would have little or no upfront costs, e.g. easier visa rules for construction workers, closer EU trade links, changes to property taxes. Reforms to curb disability benefits would probably save money, especially if they lift workforce participation. Others would have initial costs, e.g. more childcare support, higher allowances for intangibles investment, or lower national insurance taxes on the over 65s.

The best strategy is probably to tackle all these areas at once. This is because the knock-on effects on business investment are likely to be stronger if firms become more confident that growth prospects will be significantly better, and this is more likely with a broad-based rather than piecemeal approach. Similarly, worries over the UK's longer-term fiscal sustainability would decline if financial markets became confident that potential growth is set to clearly improve.

Over time, higher growth would lift tax revenues and improve the fiscal position. But unless supply-side measures are self-financing over a relatively short period of three-five years, then extra savings may be needed elsewhere to bridge the gap before the fiscal benefits of higher potential growth accumulate.

If so, one approach would be to squeeze spending in all other areas to compensate. Alternatively, the government could replace the existing state pension 'triple lock' with a 'double lock' that rises in line with the average of prices and wages, which would save about £4bn per year in 2029/30. Or, as advocated by the IMF, raise the state pension in line with prices only, which would save £5bn-£6bn in 2029/30. Of course, the government should finally begin to index fuel duties, rather than repeatedly commit to indexing them in future years while not doing so in practice. But fuel duties have already fallen from 2.1% of GDP in 2000 to 0.9% of GDP in 2024 and (on the OBR's forecasts, which assume fuel indexation) will fall to 0.8% of GDP in 2029/30. With the ongoing shift to electric vehicles, an alternative will be needed to fuel duties, such as a road-usage tax, and an early shift in this direction could help provide fiscal space to support supply-side policies.